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China Economics | Asia Pacific

2Q Tracking GDP Softens to 4.4% on Weak Domestic Demand

Key Takeaways

- May activity points to a more entrenched two-speed economy: Strong export-led production, weaker domestic consumption and investment.
- Industrial production slightly beat (up 40bps to 4.5%; Consensus: 4.3%Y): Stronger mid-to-downstream production, weaker upstream.
- FAI single-month YoY slumped further (down 2.7pp to -10.7%): Key drag was slowed infrastructure push; mfg. capex remained weak despite export strength.
- Retail sales YoY turned negative for the first time since 2022 (-0.6%; Consensus: -0.5%), due to faded trade-in effectiveness and continued job market weakness.
- We thus see 2Q real GDP tracking slightly <4.5%Y, increasing Beijing's urgency to step up fiscal rollout from 3Q, with focus on AI and energy transition capex.

2Q GDP tracking at 4.4%Y amid a more entrenched "K-shaped" economy (vs. 4.5% estimated last month): May activity data show wider divergence between stronger exports and weaker domestic consumption:

- **Firmer export-led production, narrow capex pass-through:** Mid-to-downstream production YoY rose 0.7pp to 6.4%, led by high-tech. Yet pass-through to domestic capex was confined to computer and equipment, given pervasive overcapacity.
- **Consumption slowing:** Retail sales dipped despite "618" e-commerce promotion starting a day earlier, reflecting fading trade-in effectiveness and job market weakness.
- **Property rebound in doubt:** Firmer second-hand sales in select top cities contrast with weak mortgage growth, slowing primary sales, and continued property capex slump—pointing to narrow improvement.
- **Slower fiscal rollout:** Weaker govt. bond issuance and infrastructure FAI slump (down 7pp to -10.8%YTD) reflect a project-pipeline lull post-1Q front-loading.

Beijing may step up capex-centric fiscal rollout from 3Q: With ~60% of annual govt. bond quota unused, we expect July Politburo to urge faster fiscal rollout, not new stimulus. Policy focus would stay on capex, not consumption—particularly support for AI computing networks, data centers, and smart grids under the "Six Networks" initiative—as geopolitical tensions reinforce the imperative of energy security and tech self-sufficiency.

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Exhibit 1 : Summary of activity indicators

(YoY% unless specified otherwise)	May-26	Apr-26	Mar-26	Feb-26	1Q26	4Q25
Industrial Production (IP)	4.5	4.1	5.7	6.3	6.1	5.0
Mining	2.3	3.8	5.7	6.1	6.6	5.4
Manufacturing	4.4	4.0	6.0	6.6	6.4	5.1
Utility	7.6	5.3	3.5	4.7	4.3	3.5
Fixed Asset Investment (FAI)						
YoY% YTD	-4.1	-1.6	1.7	1.8	1.7	-3.8
YoY%	-10.7	-8.0	1.6	1.8	1.7	-12.8
Manufacturing	-4.2	-4.3	4.9	3.1	4.1	-7.3
Infrastructure	-10.8	-3.7	8.9	9.8	9.2	-13.4
Property	-24.3	-20.1	-11.3	-11.1	-11.2	-29.5
Retail Sales						
Nominal	-0.6	0.2	1.7	2.8	2.4	1.7
Auto	-16.1	-15.3	-11.8	-7.3	-9.0	-6.6
Housing Related Consumption	-14.1	-14.0	-6.5	3.2	-0.8	-13.7
Mobile Phones	0.7	6.2	27.3	17.8	20.8	21.6
Gold	-8.9	-21.3	11.7	13.0	12.6	17.1
Goods Retail sales ex Consumer Trade-in Goods ex Gold	3.5	4.2	3.1	2.4	2.6	3.4
Property Sector						
Sales	-11.7	-9.1	-10.5	-15.9	-13.1	-18.3
New Starts	-22.7	-27.9	-20.7	-23.3	-22.0	-24.7

Source: CEIC, NBS, Morgan Stanley Research

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